

Please Send Money

on how much the car costs and the length of the contract. Because car repairs can prove costly, some people consider this expense the price you pay for peace of mind. Before deciding whether to purchase the service contract, you should ask your salesman the following questions:

1. What is the difference between the warranty and the service contract being offered?
2. Is the warranty with the dealership directly or with an outside firm that has been contracted to provide this service?
3. What problems are seen most often on this model?
4. Should the dealer or service go out of business, what protection is there for the purchaser?
5. What repairs are covered?
6. What costs of repair labor and parts are you responsible for?
7. Must all repair work be done at the dealer? Will repairs made elsewhere be covered?
8. What is the cancellation and refund policy?

After all the research is completed, you need to match your budget with the cars (and their corresponding expenses) that interest you. This is a very important step. Without being realistic about what you can actually afford, you may end up getting in over your head, like Jack. By knowing all the costs of ownership (not just figuring out the monthly payment he could afford) and by knowing which cars were within his price range, Jack could have made a wiser decision. As he rode his bike to work, his parents' old car suddenly didn't look so bad!

